

HOUSE BILL 1054

By McKenzie

AN ACT to amend Tennessee Code Annotated, Title 12,
Chapter 3, Part 12, relative to construction project
delivery methods.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Title 12, Chapter 3, Part 12, is amended by
adding the following language as a new section:

(a) Notwithstanding another law to the contrary, a local government having a
population of one hundred thousand (100,000) or more, according to the 2020 or a
subsequent federal census, and having centralized purchasing with a full-time
purchasing agent, may use any project delivery method that the local government
determines most effectively meet the needs of the local government for the construction
of local projects or additions to existing buildings; provided, that all applicable purchasing
laws are followed.

(b) As used in this section:

(1) "Construction manager at-risk" means a project delivery system
where the construction manager, acting as the local government entity's general
contractor, is contracted to advise the designer and builder, and to deliver a
project within a guaranteed maximum price;

(2) "Design-bid-build" means the traditional project delivery method,
which customarily involves three (3) sequential project phases, being design,
procurement, and construction, and two (2) distinct contracts for the design and
construction phases;

(3) "Design-build" means a construction project delivery method that combines architectural and engineering design services with construction performance under one (1) contract;

(4) "Design-build-finance-operate" means an alternate project delivery method whereby a private sector party is awarded a contract to design, construct, finance, and operate a capital project;

(5) "Local government" means a county, municipality, metropolitan government, town, utility district, utility authority, local education agency, or other local governmental entity; and

(6) "Project delivery method" means any of the following construction contracting methods:

(A) Construction manager at-risk;

(B) Design-bid-build;

(C) Design-build; or

(D) Design-build-finance-operate.

SECTION 2. This act takes effect upon becoming a law, the public welfare requiring it.